Reliance Industries Limited

RELIANCE.NS - DCF Valuation & Investment Summary

Company type: Public | Currency: INR (millions) | Industry: Oil & Gas Refining & Marketing | Historical period: FY2023-FY2026

Valuation Summary

ENTERPRISE VALUE	EQUITY VALUE	IMPLIED SHARE PRICE	CURRENT SHARE PRICE
Rs. 2,466,801M	**Rs. -559,439M**	**Rs. -41.34**	**Rs. 1,302.50**

UPSIDE / (DOWNSIDE)	WACC	TERMINAL GROWTH	MODEL INTEGRITY
-103.2%	**12.6%**	**5.0%**	**50/100**

Investment View

Equity Value is negative. Enterprise Value plus cash does not cover debt, lease liabilities, minority interest, and preferred stock combined. This can be legitimate for a distressed or heavily levered/minority-diluted company, but always verify the debt and minority interest figures independently before relying on the implied share price below.

At the Base Case DCF valuation of Rs. -41.34 per share, Reliance Industries Limited appears approximately 103.2% overvalued relative to the current market price of Rs. 1,302.50.

Key Upside Drivers

• Faster revenue growth from market-share gains

• Greater margin expansion from operating leverage

• Lower capital intensity

• Lower discount rate on improved risk profile

Key Risks

• Revenue deceleration from competitive pressure

• Margin compression from cost inflation

• Higher capital intensity

• Higher discount rate on elevated risk

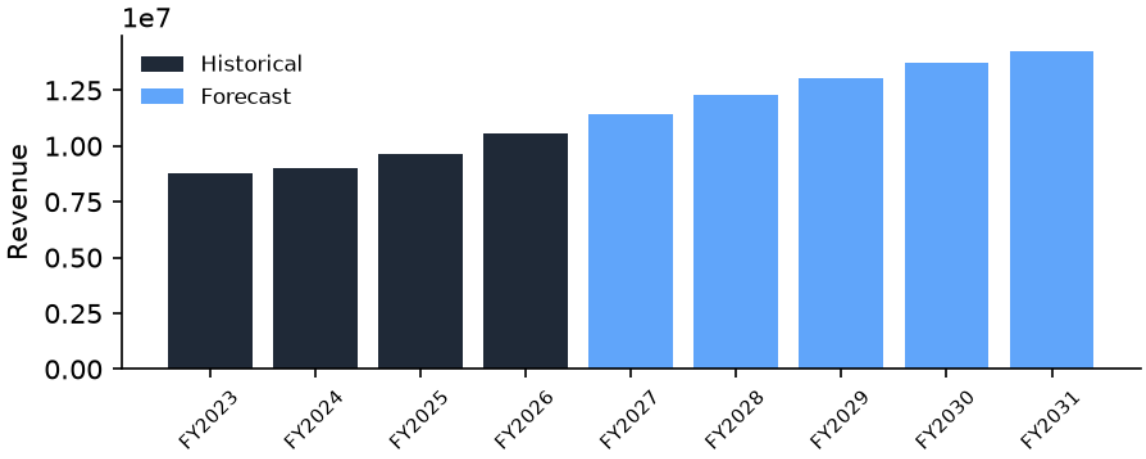
Valuation Confidence

Low. Model integrity score 50/100; terminal value represents 60.7% of Enterprise Value.

Historical Performance

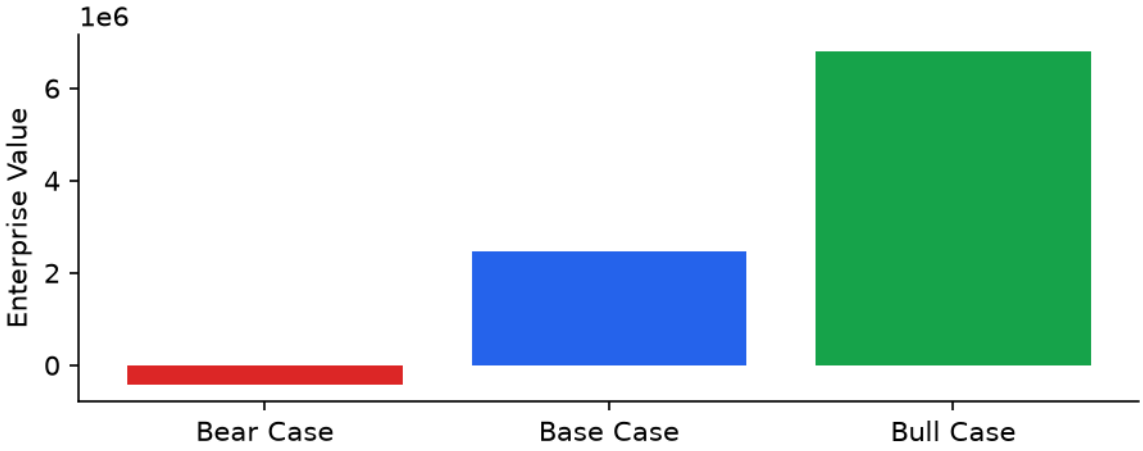
• EBITDA margin expanded from 17.5% in FY2023 to 19.4% in FY2026.

• Average Capex was 14.8% of revenue and average D&A was 5.3% of revenue over the historical period.



Scenario Analysis

Metric	Bear	Base	Bull
Revenue CAGR	4.2%	6.2%	8.2%
Terminal EBITDA Margin	17.6%	19.6%	21.6%
WACC	13.6%	12.6%	12.1%
Terminal Growth	4.5%	5.0%	5.5%
Enterprise Value	Rs. -431,476M	Rs. 2,466,801M	Rs. 6,810,065M
Equity Value	Rs. -3,457,716M	Rs. -559,439M	Rs. 3,783,825M



Sensitivity: Enterprise Value (WACC vs. Terminal Growth)

WACC \ g	4.0%	4.5%	5.0%	5.5%	6.0%
10.6%	2,877,147	3,041,423	3,235,288	3,467,528	3,750,788
11.6%	2,538,776	2,656,761	2,792,754	2,951,218	3,138,225
12.6%	2,279,043	2,367,092	2,466,801	2,580,648	2,711,872
13.6%	2,073,255	2,140,940	2,216,540	2,301,528	2,397,770
14.6%	1,906,082	1,959,355	2,018,206	2,083,558	2,156,552

Ranked Valuation Drivers

Driver	EV Swing %
Terminal EBITDA Margin (+/-1.0pp)	96.7%
Capex % of Revenue (+/-0.5pp)	62.9%
WACC (+/-1.0pp)	23.4%
Terminal Growth (+/-0.5pp)	8.7%
Revenue CAGR (+/-1.0pp/yr)	2.0%

Key Assumptions

Assumption	Period	Value	Source	Rationale
Revenue Growth	FY2027	8.3%	calculated	FY2027 revenue growth is assumed at 8.3%, glided from the recent 8.3% run-rate toward a 4.0% long-term normalized rate over the 5-year forecast horizon (vs. 6.4% historical 5-year CAGR), reflecting expected growth normalization.
Revenue Growth	FY2031	4.0%	calculated	FY2031 revenue growth is assumed at 4.0%, glided from the recent 8.3% run-rate toward a 4.0% long-term normalized rate over the 5-year forecast horizon (vs. 6.4% historical 5-year CAGR), reflecting expected growth normalization.
Capex % of Revenue	FY2027	14.8%	calculated	Capex modeled at the 14.8% historical average of revenue (vs. 11.6% in the most recent year).
NWC % of Revenue	FY2027	4.3%	calculated	Net working capital modeled at the 4.3% historical average of revenue, held constant given no evidence of a structural change in payment terms.
Tax Rate	FY2027	23.1%	calculated	Tax rate held at the 23.1% historical average effective rate.
Risk-Free Rate	-	6.5%	market_data	10-year government bond yield as of the source date.
Beta	-	1.10	industry_benchmark	Damodaran sector beta
Equity Risk Premium	-	6.9%	market_data	Long-run historical equity risk premium for the company's market.
Pre-Tax Cost of Debt	-	8.0%	market_data	Based on the company's current borrowing rate / comparable credit spread.

Model Quality & Data Notes

50/100 — Model not reliable

[WARNING] Balance sheet does not balance in FY2023: assets 13,933,380.0 vs. liabilities + equity 13,112,040.0.

[WARNING] Balance sheet does not balance in FY2024: assets 15,650,100.0 vs. liabilities + equity 14,307,540.0.

[WARNING] Balance sheet does not balance in FY2025: assets 17,551,220.0 vs. liabilities + equity 15,096,170.0.

[WARNING] Balance sheet does not balance in FY2026: assets 19,474,250.0 vs. liabilities + equity 15,673,580.0.

[ERROR] Equity Value is negative (-559,439). This means Enterprise Value plus cash is insufficient to cover debt, lease liabilities, minority interest, and preferred stock combined. This can be a legitimate result for a distressed or heavily levered/minority-diluted company, but always warrants manual verification of the debt and minority interest figures before trusting the implied share price.

[WARNING] Minority interest and preferred stock together represent 74% of Enterprise Value — unusually large. Verify this figure against the source financial statements; it materially swings the Enterprise Value -> Equity Value bridge.

This report is generated by an automated DCF modeling tool for research purposes. Every figure above traces back to the assumptions and sources shown in the companion Excel workbook. This is not investment advice.